

24STCP03883 24STCP03883

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TENTATIVE RULING

DEPARTMENT

415

HEARING DATE

August 3, 2026

CASE NUMBER

24STCP03883

MOTION

Demurrer to Third Amended Complaint

MOVING PARTIES

Defendants Anthony Irving Stuart and the Stuart Law Firm

OPPOSING PARTY

Plaintiff Michael Johnson

MOTION

Plaintiff Michael Johnson ("Plaintiff") brought this action against Defendants Anthony Irving Stuart and the Stuart Law Firm ("Defendants") concerning Defendants' representation of Plaintiff in a prior arbitration. Defendants demur to the fourth and fifth causes of action in the operative third amended complaint. Plaintiff opposes the demurrer.

ANALYSIS

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In ruling on a demurrer, the court must "liberally construe[]" the allegations of the complaint. (Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

Fourth Cause of Action: Breach of Contract

For a cause of action for breach of contract, Plaintiff must allege Defendants were obligated to Plaintiff pursuant to a contract; Defendants breached that contract; and the breach caused damages. (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151.) In this regard, Plaintiff alleges Defendants breached their retainer agreement with Plaintiff because, "after accepting a case already in arbitration, paying ADR Services for arbitration services over an extended period of time, Defendants 'changed their minds' mid-stream and tried to force Plaintiff into modifying the Fee Agreement so that Plaintiff was responsible to immediately advance[] \$50,000 and take on responsibility for 50% of all costs in the future – even though Plaintiff did not have available funds to do so." (Third Amended Complaint, ¶ 131.)

Plaintiff attaches the retainer agreement between Plaintiff and Defendants to the operative third amended complaint. It states Plaintiff authorizes Defendants to incur any costs necessary for the representation of Plaintiff in the arbitration, and Defendants will deduct such costs from any eventual recovery. (Id., Exhibit A.) Plaintiff also attaches emails between Plaintiff and Defendants to the third amended complaint. In those emails, Defendants advise Plaintiff the costs of arbitration will likely exceed \$100,000, given the arbitrator's fee alone would be \$43,200. Defendants also advised Plaintiff Defendants would not be able to continue representing Plaintiff in the arbitration unless Plaintiff agreed to advance \$50,000 towards the costs of the arbitration, and would therefore withdraw. (Id., Exhibit D.) "If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence." (Holland v. Morse Diesel Intern., Inc. (2001) 86 Cal.App.4th 1443, 1447.)

The retainer agreement between Plaintiff and Defendants does not obligate Defendants to fund the arbitration. Instead, it authorizes Defendants to "expend whatever sums they, in their discretion, deem advisable" (Third Amended Complaint, Exhibit A.) Accordingly, Plaintiff cannot base a claim for breach of contract on Defendants' failure to advance the costs of the arbitration.

Plaintiff also alleges Defendants breached the retainer agreement by asserting a lien on Plaintiff's recovery after Defendants' withdrawal. The retainer agreement states, if "[Plaintiff] discharge[s] [Defendants] or obtain[s] a substitution of the attorneys before any such settlement is made or judgment is had, or choose to terminate this attorney/client relationship, [Defendants] are given a lien on my action, or any judgment or compromise obtained herein, for the reasonable value of services rendered and costs incurred." (Ibid.) Plaintiff further alleges his relationship with Defendants terminated prior to the conclusion of the arbitration, and Plaintiff hired subsequent counsel. As such, pursuant to the retainer agreement, Defendants were entitled to assert a lien.

Plaintiff also enumerates various purported breaches, including "failing to make a timely motion to remove the matter from arbitration[;] failing to timely pursue the case notwithstanding assurances to make it the highest priority[;] failing to make a motion to remove this matter from arbitration after receiving this bill[;] failing to conduct necessary discovery, including pursuing subpoenas of third parties with key data relative to damages[;] threatening Plaintiff in various ways, including abandonment in the event that Plaintiff refused to enter into a revised fee agreement[;] advising Plaintiff that if he left the case, the matter would 'die on the vine,' [;] abandoning the representation without a motion to the superior court or the arbitrator[;] abandoning the representation of Plaintiff without compliance with Rule 1.16(b)" (Third Amended Complaint, ¶ 153.) Additionally, Plaintiff alleges Defendants breached the retainer agreement because Defendants failed to "comply with various Rules of Professional Conduct, applicable statutes within the Business and Professions Code, and applicable

appellate authorities” (Third Amended Complaint, ¶ 157.) These allegations are of negligence, not breach of contract.

Accordingly, Plaintiff must amend to allege a cognizable breach of the retainer agreement. The Court sustains the demurrer to the fourth cause of action with leave to amend.

Fifth Cause of Action: Intentional Infliction of Emotional Distress (IIED)

“The elements of the tort of intentional infliction of emotional distress are: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct. Conduct to be outrageous must be so extreme as to exceed all bounds of that usually tolerated in a civilized community. The defendant must have engaged in conduct intended to inflict injury or engaged in with the realization that injury will result.” (Potter v. Firestone Tire & Rubber Co. (1993) 6 Cal.4th 965, 1001, internal quotations and citations omitted.)

Plaintiff alleges Defendants failed to fund the underlying arbitration. (Third Amended Complaint, ¶ 171.) As set forth above, Plaintiff fails to allege the retainer agreement required Defendants to do so. Further, even if Defendants breached the retainer agreement, Plaintiff’s allegations are not of extreme and outrageous conduct beyond all bounds of civility. Therefore, the Court sustains the demurrer to the fifth cause of action with leave to amend.

The Court has already provided Plaintiff with one opportunity to amend the complaint to support the fourth and fifth causes of action. Plaintiff failed to do so. However, in an abundance of caution, the Court will provide Plaintiff with a second opportunity to amend. (See City of Stockton v. Superior Court (2007) 42 Cal.4th 730, 747 [further amendment permitted when operative complaint “does not on its face foreclose any reasonable possibility of amendment”] .)

CONCLUSION AND ORDER

Defendants’ demurrer to the fourth and fifth causes of action in Plaintiff’s third amended complaint is sustained with leave to amend. Plaintiff is to file an amended complaint within 20 days.

Defendants are ordered to provide notice of the Court’s ruling and to file proof of service of same.